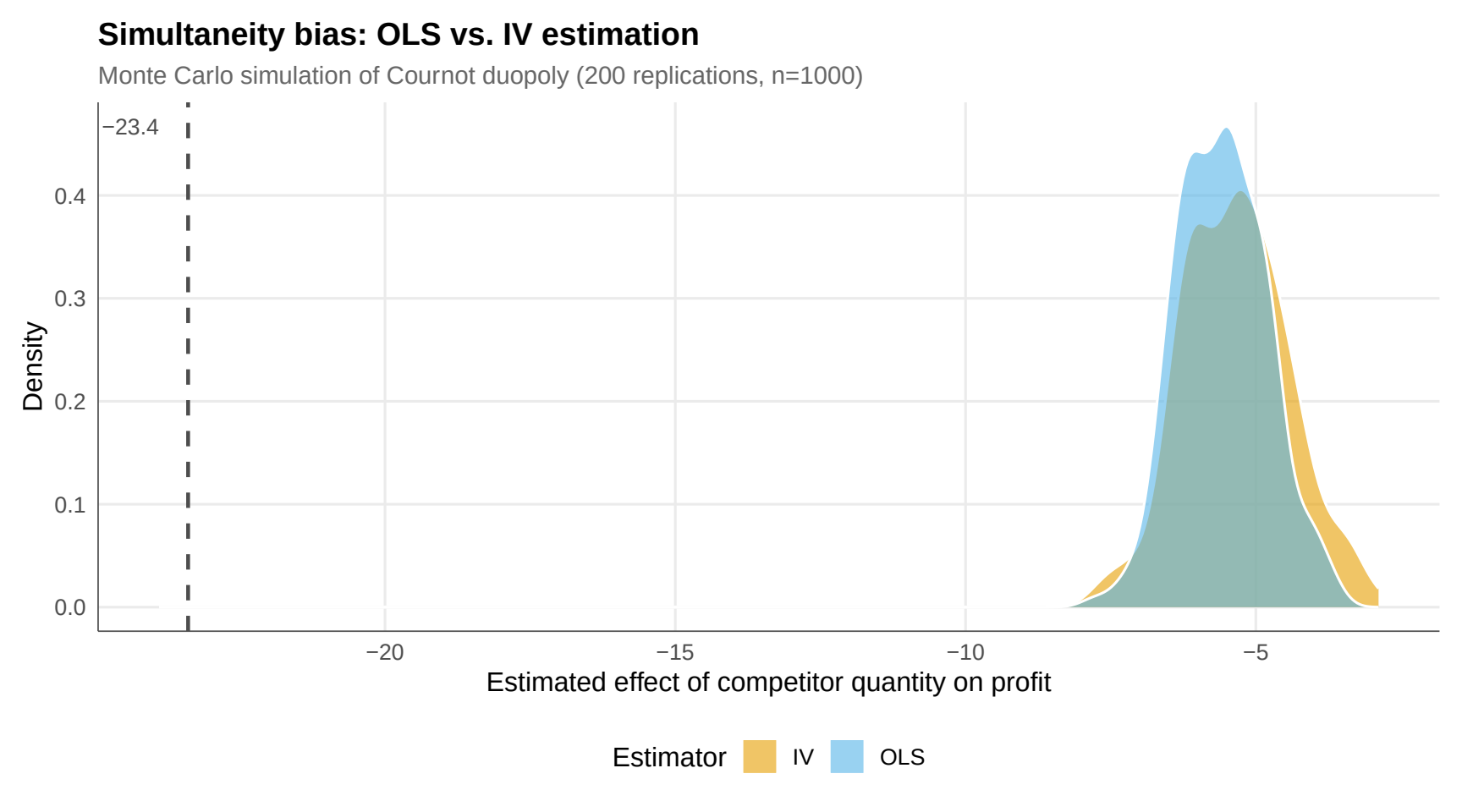
Simultaneity bias: OLS vs. IV estimation
Monte Carlo simulation of Cournot duopoly (200 replications, n=1000)
−23.4
0.4
0.3
0.2
0.1
0.0
Density
−20
−15
−10
−5
Estimated effect of competitor quantity on profit
Estimator
IV
OLS